Budget variances at Harbour Street Cafe

Student tasks | Original TBS lesson for A level Business (Edexcel 9BS0 content, Theme 2, financial planning)

The owner of Harbour Street Cafe set a budget for March. Now the month is over and the actual figures are in. Use variance analysis to find out what went differently, which differences matter and what the owner should do when she sets April's budget.

Before you start you should know: a budget is a financial plan for a period. Variance = actual - budget. A variance is favourable (F) if it makes profit higher than planned, and adverse (A) if it makes profit lower. These conventions, and the investigation rule in Task 2, are the rules of this lesson only; textbooks and exam answers may show variances differently. You need a calculator. This is original classroom practice, not an exam paper. Harbour Street Cafe and every figure are fictional.

Starter: favourable or adverse?

Write F or A: (i) revenue is £500 above budget _____ (ii) energy costs are £200 above budget _____ (iii) marketing costs are £100 below budget _____ (iv) revenue is £300 below budget _____

The March figures

March (£)	Budget	Actual
Sales revenue	18,000	17,100
Ingredients	5,400	5,643
Staff wages	6,300	6,000
Rent	2,000	2,000
Energy	900	1,150
Marketing	600	450
Other costs	400	380

Give percentages to one decimal place. Use the budget as the base for each percentage. Selling prices did not change in March, but the number of items sold was 5% below budget.

Task 1: calculate the variances

March (£)	Variance (£)	Variance (% of budget)	F or A
Sales revenue	-900	-5.0%	A
Ingredients			
Staff wages			
Rent			
Energy			
Marketing			
Other costs			

a. The first row is done for you. Complete the rest of the table. Write the variance as actual minus budget, with a minus sign where actual is below budget. If the variance is zero, write none under F or A.

Working space for the percentages:

b. Profit = revenue - total costs. Complete the table.

(£)	Budget	Actual	Variance
Total costs			
Profit			

Task 2: which variances deserve investigation?

The owner only investigates a variance if it is more than £250 or more than 20% of the budgeted figure. Compare sizes only: ignore any minus sign.

a. Which lines of the Task 1a table meet this rule? Show the evidence for each line you include or leave out.

b. Energy is exactly £250 above budget. Does it meet the rule? Explain.

Task 3: what happened?

The owner's notes for March say: (1) the weather was colder than usual and the heating was on for longer; (2) the main supplier raised its ingredient prices by about 10%; (3) one barista left in week 2 and was not replaced; (4) a planned social media promotion was cancelled; (5) a road closure outside the cafe lasted two weeks.

a. Match each note to the variance it most likely helps to explain. Some variances may have more than one cause.

b. Choose one of the notes and say whether the owner could have controlled it. What action might she take for April?

Task 4: set April's budget

The owner is considering two ways to set April's budget: (A) take March's actual figures as the starting point, adjusted for known changes (historical figures); (B) start from zero and justify every cost (zero-based budgeting).

Write about 100 words recommending A or B. Use at least three figures from the variances. Explain one benefit of your chosen method and one difficulty of budgeting that could still affect the owner's plan.

Exit ticket

In April the budget for staff wages is £6,300 and actual wages are £6,615.

a. Calculate the variance in £ and as a percentage of budget, and say whether it is favourable or adverse.

b. The owner says, "A favourable variance on costs is always good news." Give one example from March where this might not be true.